BNK Financial Group (138930 KS)

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Need to wait and see through 4Q26

3Q26 net profit misses consensus

BNK Financial Group's net profit attributable to controlling interest in 3Q26 came to W210.5bn, missing consensus of W246.7bn by 14.7%. The miss was driven by lower non-interest income stemming from wider bond valuation losses due to higher bond yields and reduced gains on loan sales, as well as higher provisions from increased provisioning for general loans. Factoring in the W44bn BNK Financial Tower expense in the previous quarter, group interest income rose 4.2% QoQ. Won-denominated loans at the two banks increased by 0.13%, while their combined NIM fell 4bp. As a result, bank interest income remained flat QoQ, while non-bank interest income increased. Non-interest income contracted by 76.8% QoQ. This is because although commission income climbed QoQ, other non-interest income was sluggish due to lower securities valuation gains and reduced bank loan disposal gains. SG&A expenses fell 8.9% QoQ on base effect from high labor costs in 2Q26. Voluntary early retirement costs in 4Q26 will likely be recognized next year. Credit costs decreased by around 10% QoQ, and the CET-1 ratio increased by 4bp QoQ to 12.18%.

Announces W60bn share buyback

BNK Financial Group repurchased W60bn worth of treasury shares in 1H26, and announced an additional W60bn share buyback during this earnings release, with the acquisition period ending on Jan 29, 2027. Assuming a 10% YoY increase in total dividend payout, full-year DPS is estimated at W825, which translates into an estimated 2026 total shareholder return ratio of 48.4%. The expected total shareholder return yield at end-2026 stands at 10.3% (dividend 7.0%, treasury share 3.3%). The group's shareholder return policy targets a 10% YoY increase in total dividends and plans to achieve a total shareholder return ratio of 50.0% in 2027.

Maintain BUY, but revise down target price by 12.2% to W18,000

We maintain BUY, but revise down our target price by 12.2% to W18,000 to reflect a higher discount rate stemming from 3Q26 earnings revisions and concerns over reduced share buybacks. We expect provisions to decrease to around W150bn in 4Q26, and once this is confirmed, we believe some earnings visibility will be secured.

BUY (M)

Target price	W18,000 (Down)
Previous target price	W20,500
Current price (Oct 26)	W11,780
Upside potential	53%

Market cap (Wbn)	3,615
Shares outstanding	306,839,751
Avg daily T/O (2M, Wbn)	16
Avg daily volume (2M, shrs)	1,043,741
52-week high/low (won)	22,650 / 11,780
Foreign ownership (%)	36.54%
Dividend yield (%)	6.00%
Major shareholders	Lotte Shopping & others

Stock performance

(%)	1M	3M	12M
Absolute	(26.2)	(34.7)	(16.7)
Relative	(4.5)	(20.1)	(40.0)
Abs (US$)	(24.3)	(27.6)	(9.5)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	841	-6.0	-6.4	910	-7.6
SG&A expense	395	4.4	-8.9	409	-3.3
Provisions	206	51.9	-9.8	174	18.7
OP	240	-37.0	1.6	327	-26.8
Consolidated NP	217	-27.5	5.5	261	-16.9
NP, CI	211	-28.5	5.0	246.7	-14.7

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	3,334	3,370	3,473	3,724
OP	876	903	956	1,115
NP, CI	729	815	773	850
P/E (x)	4.5	6.0	4.7	4.1
P/B (x)	0.33	0.48	0.34	0.32
ROE (%)	6.9	7.6	7.1	7.5
ROA (%)	0.49	0.52	0.5	0.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Quarterly earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs cons.	YoY	QoQ	3Q25	2Q26
Net op revenue	841	910	-7.6	-6.0	-6.4	894	898
OP	240	327	-26.8	-37.0	1.6	380	236
Net profit, CI	210.5	246.7	-14.7	-28.5	5.0	294	200

Note: CI = controlling interest
Source: company data, Yuanta Securities

Earnings forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	854	817	894	804	867	898	896	851	3369.9	3,511
Net interest income	736	708	741	768	763	724	777	782	2,953	3,045
Non-interest income	119	109	154	36	104	174	119	69	417	466
Commission income	50	38	50	41	69	68	54	54	180	245
Other non-interest income	68	71	104	-6	35	106	65	15	237	221
SG&A expense	377	399	378	536	423	434	405	494	1,690	1,757
Pre-provisioning OP	478	419	516	268	444	464	491	356	1,680	1,754
Provisioning	272	163	136	207	160	229	199	158	778	746
OP	206	256	380	61	283	236	292	198	903	1,009
Non-operating profit	22	142	21	8	0	40	13	10	192	63
Pre-tax profit	228	398	401	69	283	276	305	208	1,095	1,072
Consolidated net profit	172	314	300	50	217	206	228	158	836	808
Consol. net profit (CI)	167	309	294	45	211	200	222	153	815	787
Won-denominated loan growth (bank)	0.7	0.5	1.6	1.4	1.9	3.2	-0.2	0.0	4.2	5.0
Portion of non-interest income	13.9	13.3	17.2	4.4	12.0	19.4	13.3	8.1	12.4	13.3
NIM (bank)	1.84	1.86	1.80	1.81	1.88	1.84	1.80	1.81	1.83	1.83
CIR	44.1	48.8	42.3	66.7	48.8	48.3	45.2	58.1	50.1	50.0
CCR	0.93	0.55	0.45	0.68	0.52	0.71	0.62	0.49	0.65	0.59
NPL ratio	1.69	1.62	1.46	1.42	1.57	1.46	1.44	1.42	1.42	1.42
NPL coverage ratio	84.5	85.3	90.0	84.9	76.7	79.9	80.3	81.1	84.9	81.1
CET-1	12.26	12.56	12.59	12.34	12.30	12.14	12.23	12.18	12.34	12.18
ROE	6.3	11.7	11.0	1.7	7.8	7.4	8.1	5.5	7.6	7.2
ROA	0.4	0.8	0.7	0.1	0.5	0.5	0.5	0.4	0.5	0.5
Equity	10,50	10,610	10,724	10,793	10,805	10,899	11,021	11,132	10,793	11,132
Asset	153,9	155,535	158,409	161,095	163,099	167,478	170,401	171,413	161,095	171,413

Note: CI = controlling interest
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Oct 7, 2026)	New (Oct 27, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	10.2	10.9	
Risk-free rate	(a)	%	3.3	3.4	Monetary stabilization bond 1yr 3M
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.8	0.8	104-week adjusted beta
Ri	(d)	%	3.0	3.6	Reflected additionally given past COE level
Average ROE	(B)	%	7.6	7.5	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg)
Target P/B	(A=(B-D)/(C-D))	x	0.53	0.46	
12-mo-fwd BPS	(E)	won	38,835	38,725	
Target price	(A*E)	won	**20,500**	**18,000**	
Current price (Oct 26)		won		11,780	
Upside potential		%		52.8	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net op revenue	3,511	3,707	3,473	3,724	-1.1	0.5
OP	1,009	1,107	956	1,115	-5.3	0.7
Net profit, CI	787	852	773	850	-1.8	-0.2

Note: CI = controlling interest
Source: Yuanta Securities

BNK Financial Group (138930 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	2,977	2,953	3,067	3,215	3,257
Interest income	6,949	6,473	6,740	7,180	7,271
Interest expense	3,972	3,519	3,672	3,964	4,014
Non-interest income	357	417	405	509	554
Net commission	220	180	289	258	277
Other non-interest	137	237	116	252	277
Net operating revenue	3,334	3,370	3,473	3,724	3,811
Selling and admin expense	1,567	1,690	1,765	1,915	1,987
Pre-provision operating profit	1,767	1,680	1,708	1,809	1,824
Provisions	891	778	752	694	643
Operating profit	876	903	956	1,115	1,181
Non-operating profit	116	192	106	48	48
Pre-tax profit	992	1,095	1,062	1,163	1,229
Income tax	242	258	265	286	306
Tax rate	24	24	25	25	25
Consolidated net profit	750	836	796	877	923
Controlling interest	729	815	773	850	896
Non-controlling interest	21	21	24	26	26

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	5,818	7,143	6,518	6,848	7,095
Securities	28,219	29,960	31,388	32,977	34,164
Loans	113,946	119,565	125,792	132,218	138,879
Tangible and intangible assets	1,534	1,545	1,590	1,597	1,598
Other	2,954	2,882	4,021	4,239	2,550
Assets	152,471	161,095	169,309	177,880	184,286
Deposits	107,855	113,478	117,725	123,956	128,633
Borrowings	25,423	27,891	31,478	33,145	34,395
Other	8,044	8,485	8,451	8,658	8,671
Liabilities	141,323	149,854	157,654	165,759	171,700
Equity, controlling interest	10,773	10,793	11,106	11,573	12,038
Capital stock	1,630	1,630	1,630	1,630	1,630
Hybrid bond	728	498	498	498	498
Capital surplus	771	790	792	792	792
Retained earnings	7,679	8,017	8,462	8,929	9,394
Other comprehensive income	-34	-142	-276	-276	-276
Equity, non-controlling interest	449	449	549	549	549
Equities	11,148	11,242	11,655	12,121	12,587

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.87	1.82	1.83	1.79	1.75
ROE	6.9	7.6	7.1	7.5	7.6
ROA	0.5	0.5	0.5	0.5	0.5
CIR	47.0	50.1	50.8	51.4	52.1
Asset growth	4.6	5.7	5.1	5.1	3.6
Loan growth	2.8	4.9	5.2	5.1	5.0
Net profit growth	13.9	11.9	(5.2)	10.0	5.4

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	2,288	2,626	2,518	2,845	3,103
BPS	31,551	33,174	34,571	37,058	39,952
DPS	650	735	825	925	1,050
P/E	4.5	6.0	4.7	4.1	3.8
P/B	0.3	0.5	0.3	0.3	0.3
Dividend payout ratio	28.5	28.2	32.8	32.8	34.3
Dividend yield	6.3	4.6	7.0	7.9	8.9

Adequacy indicators (%)

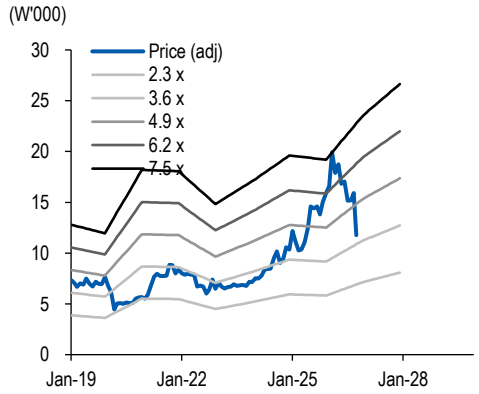
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	14.1	13.7	13.2	13.2	13.2
Tier 1 capital ratio	13.6	13.3	12.9	12.9	12.9
CET1 capital ratio	12.3	12.3	12.3	12.3	12.4

Asset quality indicators (x, %)

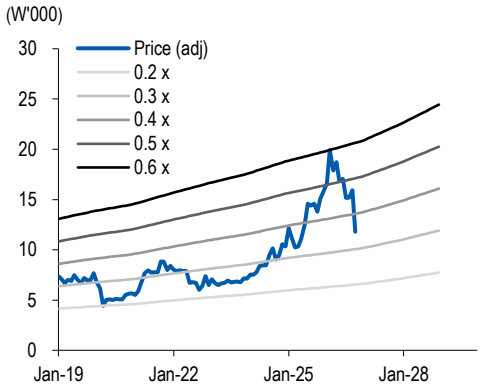
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	1.3	1.4	1.4	1.3	1.3
NPL coverage ratio	106.8	84.9	76.7	80.0	83.7
CCR	0.8	0.7	0.60	0.53	0.46

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

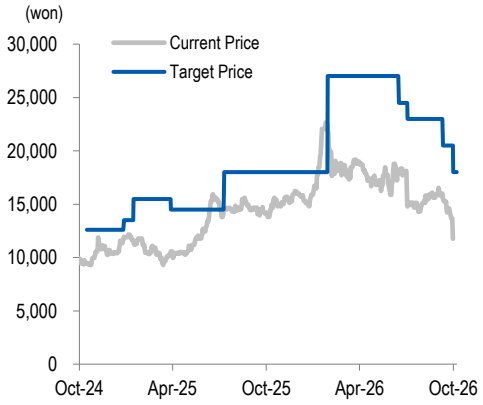
P/E band chart



P/B band chart



BNK Financial Group (138930 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/27	BUY	18,000	1 yr		
2026/10/07	BUY	20,500	1 yr	-30.21	-25.32
2026/07/30	BUY	23,000	1 yr	-33.20	-28.09
2026/07/13	BUY	24,500	1 yr	-27.90	-25.18
2026/02/24	BUY	27,000	1 yr	-33.37	-19.44
2025/08/06	BUY	18,000	1 yr	-13.87	25.83
2025/04/24	BUY	14,500	1 yr	-14.07	10.00
2025/02/10	BUY	15,500	1 yr	-31.34	-23.81
2025/01/22	BUY	13,500	1 yr	-11.81	-9.93
2023/11/13	BUY	10,000	1 yr	-24.72	-15.30

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 27, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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